

93% of millionaires use coupons when shopping.

Budgeting for Abundance

As a regular guest on several national TV news programs, I am often on panels with other financial experts. Not surprisingly, I disagree with my fellow “experts” more often than not. However, I was listening to a rental real estate podcast recently and almost spit coffee out of my mouth when I heard something especially dumb. They were talking about building wealth through real estate, and then they went off on a rant about how self-defeating the act of budgeting is. They said a budget represents a scarcity mentality—where you’re trying to maximize every nickel and dime—while an abundance mentality gives you freedom *from* a budget. Your goal, they suggested, should be to build enough wealth and cash flow that you don’t have to put the “restriction” of a budget on yourself. There’s just no other way for me to say it: That’s crazy. That’s the kind of ignorant, uninformed, and dangerous advice that leads people into careless spending and clueless money mismanagement. I’ve seen it over and over in my time as a financial coach. And that’s not how real millionaires behave.

Millionaires don’t *accidentally* live on less than they make. They do it on purpose because they have a plan. They’re *deciding*. Living without a budget, though, is the very definition of sliding into misfortune. It represents spending your hard-earned money with no real plan in place. Your budget is your financial road map. It shows you all the twists and turns that are coming up each month. If you’re going through the month without a plan, you’re driving without a map and hoping to end up in the land of millions. Take it from me and the 10,000 people we studied: that’s not going to happen.